Financial Institutions and Markets

Workshop questions for week 11

Section A

1. The Islamic finance is strongly _________ oriented.

a) debt

b) equity

c) money

d) interest

2. Based Syariah principle making money from money (riba) is ________

a. permitted

b. not permitted

c. permitted in some cases

d. permitted for Islamic bank only

3. Islamic finance must also be free from ___________.

a. profit

b. loss-sharing

c. uncertainty or Gharar

d. equity

4. Islamic finance prioritises _________.

a. profit maximisation

b. ethical and socially responsible investments

c. shareholder value

d. government projects

5. Shares in companies with which of the following core business activities would qualify as Shariah compliant?

a. Gambling

b. Production of alcoholic beverages

c. Conventional banking services

d. Building and construction

6. The Islamic financial system works on the basis of ______.

a. sharing return

b. sharing risk

c. sharing risk and return

d. predetermined risk and return

7. In Islamic banking and finance, any deal must have an underlying _______ backing the deal.

a. asset

b. profit

c. risk

d. currency

8. The principle of sharing profits and losses in Islamic finance is called:
a) Riba
b) Musharaka
c) Gharar
d) Shariah

9. Murabaha refers to a contract of:
a) Interest-based loan
b) Cost-plus sale
c) Gift giving
d) Insurance

10. A “sukuk” is basically a syariah compliant _______.

a. loan

b. insurance

c. investment certificate

d. profit

11. A “takaful” is basically a syariah compliant ______.

a. loan

b. insurance

c. investment certificate

d. profit

12. Zakat is a compulsory payment used for:
a) Government income
b) Wealth redistribution
c) Bank loans
d) Profit-making

13. Islamic banking and finance _________ .

a. increase digitalisation

b. increase profitability

c. increases financial inclusion

d. increase leverage

14. The Syaria’ah principles are based on the _______.

a. ethics

b. government regulation

c. Qur’an (Holy book) and Sunnah

d. Islamic tradition

15. In terms of size, the Islamic finance in 2022 is dominated by ______.

a. Sukuk outstanding

b. Takaful contributions

c. banking assets

d. Islamic funds’ assets

16. Which of the following is NOT an example of Islamic social finance?

a. Takaful

b. Waqf

c. Zakat

d. Qard Hassan

17. Financially excluded population is provided with financing opportunities in an affordable manner through _______.

a. zakat

b. bank loans.

c. Islamic microfinance

d. waqf

18. Which Islamic finance principle promotes the equitable distribution of wealth and resources in society through obligatory giving?

a) Takaful

b) Zakat

c) Mudarabah

d) Riba

Section B: Short Answer Questions):

1. What is the prohibition of riba in Islamic finance?

2. Define Gharar and why is it prohibited?

3. What is Musharaka in Islamic finance?

4. Explain the difference between Murabaha and conventional interest-based loans.

5. What are the key sources of Shariah law in Islamic finance?

6. Why must Islamic finance contracts be asset-backed?

7. What is Sukuk and how does it differ from conventional bonds?

8. How does takaful differ from conventional insurance?

9. What role does Zakat play in Islamic finance?

10. Why did Islamic banks show resilience during the 2008 global financial crisis?

Section B

Please read the article on the *Effect of COVID-19 on the performance of Islamic and conventional GCC banks* available on blackboard and answer the following questions:

a. What is the sample size of this study?

b. Why did the study focus on GCC countries?

c. What are the two crisis the GCC countries suffered from in 2020?

d. How is bank performance measured in this study?

e. How did this study measure the effect of COVID?

f. What are the findings of this study?

g. What are the justifications provided for the findings of this study?